

FY2026 Q3 Operations Report

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Executive summary

Northstar Electronics closed Q3 with revenue of \$10.94 million across the four operating regions represented in the management dataset, compared with \$9.85 million in Q2. Growth was supported by the South region and stronger Home Automation sales.

Customer order accuracy remained above target. Delivery performance weakened during the Helios component hold, and Project Atlas moved from its original 12 October pilot date to a current forecast of 24 October.

Management priorities for Q4 are validating replacement Orion modules, completing the Atlas pilot safely, correcting outdated customer-service dashboard labels, and accelerating alternate-supplier qualification.

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2. Revenue overview

The management dataset records Q3 regional revenue of \$2.67 million for North, \$2.70 million for South, \$2.74 million for East, and \$2.83 million for West. Comparable Q2 totals were \$2.50 million, \$2.15 million, \$2.55 million, and \$2.65 million respectively.

South produced the largest quarter-over-quarter increase at \$0.55 million. The increase was distributed across computing, home automation, and accessories rather than a single unusually large transaction.

These figures are management reporting values rounded to the nearest ten thousand dollars. The notebook dataset contains category-level rows for exact comparison and demonstration.

3. Fulfillment performance

Average pick-to-pack time improved by 6 percent before the Atlas pilot, mainly through revised slotting and shift handover. Order accuracy was 99.6 percent, slightly above the 99.5 percent target.

Temporary manual handling was introduced for automation-equipment deliveries affected by the Helios hold. The workaround protected customer orders but added labor hours and reduced maintenance capacity.

No customer-safety event was linked to the warehouse disruption. Operational teams maintained daily exception reviews until replacement components arrived.

4. Customer service performance

Customer contacts increased 8 percent, led by delivery questions and warranty clarification. First-contact resolution was 78 percent. Supervisors identified inconsistent explanations when agents relied on an older dashboard label.

The current Customer Returns and Warranty Policy, version 3.2 effective 1 July 2026, provides a 30-day damaged-product return window and a 24-month limited warranty for qualifying Northstar-branded devices.

Training and dashboard content must point to the controlled policy rather than copying policy values into local reference sheets.

5. Project Atlas update

Quality Incident Q3-17 affected Orion Control Modules supplied by Helios Components for Project Atlas. Lot HC-447 did not consistently meet the approved moisture-tolerance test after environmental exposure.

The affected lot was quarantined. Kestrel Logistics paused cabinet integration while Northstar Quality Engineering and Helios validated containment. Integrated testing moved by twelve calendar days.

Replacement modules from lot HC-452 passed incoming inspection. The program forecast is now 24 October, subject to stability testing and operator-readiness confirmation.

6. Vendor and risk position

Helios Components remains a Tier 1 vendor because the Orion Control Module has no fully qualified alternate. Supplier responsiveness during containment was acceptable, but preventive controls and change-notification evidence require improvement.

The highest residual risk is recurrence before Nova Circuits qualification. Vendor Operations is tracking the corrective action weekly with executive sponsor Marcus Lee.

The quarter ended with no overdue safety-critical corrective actions, although the Helios permanent-action package remains open with an 18 October due date.

7. Legacy metric notice

A legacy customer-service dashboard continued to display a 14-day damaged-product return window and a 12-month Northstar warranty during part of Q3. Those values came from policy version 2.8 and are not current guidance.

Policy version 3.2 superseded the legacy values on 1 July 2026. The dashboard label was corrected on 22 September, and supervisors were instructed to review cases where outdated guidance may have affected a decision.

This notice is intentionally retained in the report for audit history. Readers answering a current-policy question must use the controlled policy and its effective date, not the obsolete values quoted here.

8. Q4 priorities

Complete the Project Atlas pilot with controlled volume, validate Helios corrective actions, qualify Nova Circuits, and close the remaining customer-service content gaps.

Business Operations will reconcile management revenue to finance records, monitor South-region growth quality, and track whether fulfillment gains remain sustainable after temporary workarounds end.

The Operations Risk Committee will receive a combined Atlas and supplier-resilience update at its October meeting.